Third, start-ups essentially leverage digital technologies for providing more efficient, convenient and better production and delivery of goods and services to businesses and consumers. For most start-ups, '—to C or consumers' is the real game. For building these businesses, start-ups spend big chunk of their capital in acquiring these consumers. Conventionally, these expenditures are treated as revenue or current expenditures, not capital expenditures. In this conventional accounting sense, most start-ups therefore lose an enormous amount of capital while building their businesses. The world has learnt to treat brand building and other goodwill expenditures as capital expenditures. India should figure out treating genuine customer acquisition expenditures as capital expenditure; treat it as such for accounting and tax purposes, and allow writing down of such expenditures as 'depreciation' over many years. This accounting and tax treatment would help start-ups in raising capital, both equity and debt, from conventional investment markets.

Focusing PLI on Digital Chip-Making Would Bring Best Rewards

India has a couple of policies that focus on electronic manufacturing. Electronics Policy 2018 aims at electronics production of $400 billion by the end of 2025. India also promotes the establishment of electronics hardware parks and provides some capital subsidies. More recently, the government has come up with a number of PLI (production-linked incentive) schemes, which provide a pre-fixed percentage of incremental turnover as incentive. There are a slew of PLI schemes for electronics manufacturing. The Scheme for Promotion of Manufacturing of Electronic Components and Semiconductors (SPECS), PLI for Electronics Manufacturing (the first one of a set of fourteen PLI schemes), Modified Electronics Manufacturing Clusters Scheme (EMC 2.0) and Production-Linked Incentive Scheme for IT Hardware are four schemes that specifically target electronics manufacturing in India.